

Head of ESG

A Deep Dive into NKG's Assessment

Navigating Double Materiality



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Understanding Double Materiality

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We will explore Neumann Kaffee Gruppe's (NKG) comprehensive Double Materiality Assessment (DMA) report from July 2025.

This analysis will cover their methodology, key findings, and the implications for sustainability practices in the coffee sector.



Dual Lenses of Materiality



Impact Materiality

Inside-out perspective: NKG's influence on people and the environment.



Financial Materiality

Outside-in view: ESG factors impacting NKG's financial performance and resilience.



Methodology

Framing the Assessment

01

Goal & Framing

Sustainability topics assessed through impact and financial lenses, covering the entire "farm to cup" value chain.

03

Context Analysis

Review of internal documents and external sources (industry reports, scientific papers, regulations, peer reports).

05

Expert Assessment

Workshops with global NKG sustainability experts, cross-checking, and topic refinement.

02

Organizational Scope

Mapping NKG entities and value-chain touchpoints, including farmers, suppliers, distributors, and consumers.

04

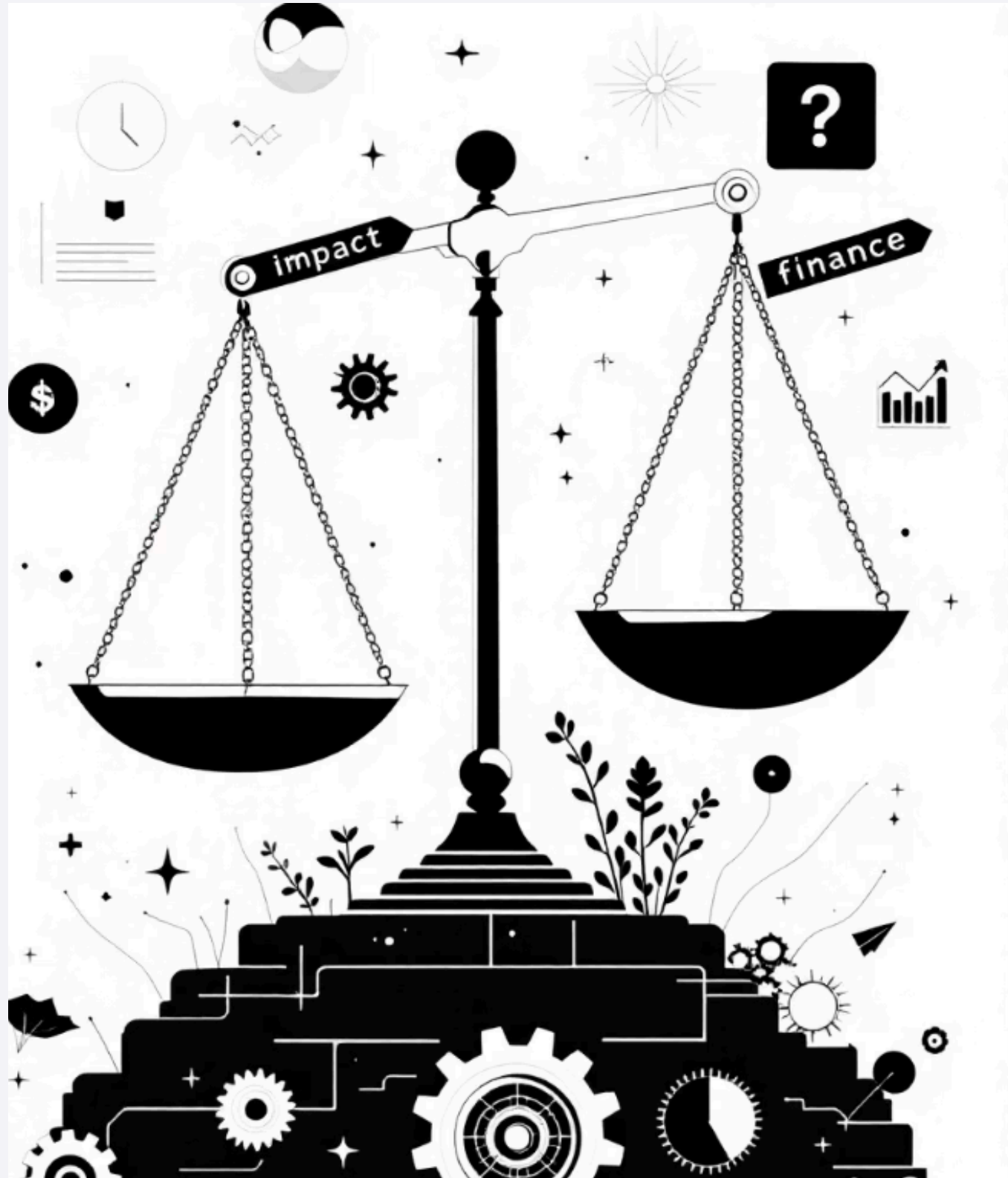
Stakeholder Interviews

In-depth interviews with 12 external stakeholders: customers, partners, banks, NGOs, and industry associations.

06

Threshold Setting

Iterative process with internal stakeholders, aligning with ESRS 1 standards.



Determining Materiality

The Scoring Approach

Impact Materiality

- Severity + Likelihood
- Severity: based on scale, scope, and remediability.
- Negative human rights impacts: severity considered regardless of likelihood.

Financial Materiality

- Financial Magnitude × Likelihood
- Applies to both risks and opportunities.



NKG's Output

Identified Risks & Opportunities

181 IROs Identified

Across the entire coffee value chain.

41 Assessed as Material

Focused on critical areas requiring immediate attention and action.



Matrix Overview

NKG's Materiality Matrix

Visualising Impact (Y-axis) vs. Financial (X-axis) materiality, highlighting ESRS standards.

Key ESRS Material Topics

1

E1 Climate Change

Top material topic due to coffee's climate exposure and emissions from production.

2

S2 Producers & Workers

Foundational importance of producer livelihoods, addressing fair compensation and modern labor risks.

3

E4 Biodiversity & Ecosystems

Direct link to resilient coffee production; addressing agricultural pressures and land-use change.

4

S1 Own Workforce

Crucial for business success: talent attraction, fair compensation, and effective grievance mechanisms.

5

G1 Business Conduct

Maintaining trust and stability through oversight, due diligence, and anti-corruption in complex supply chains.

Non-Material Standards

ESRS Deemed Less Critical

E2 Pollution

More localised impact or addressed within other standards.

E3 Water & Marine Resources

Managed under climate adaptation strategies.

E5 Resource Use & Circular Economy

Limited direct material impact compared to other topics.

S3 Affected Communities

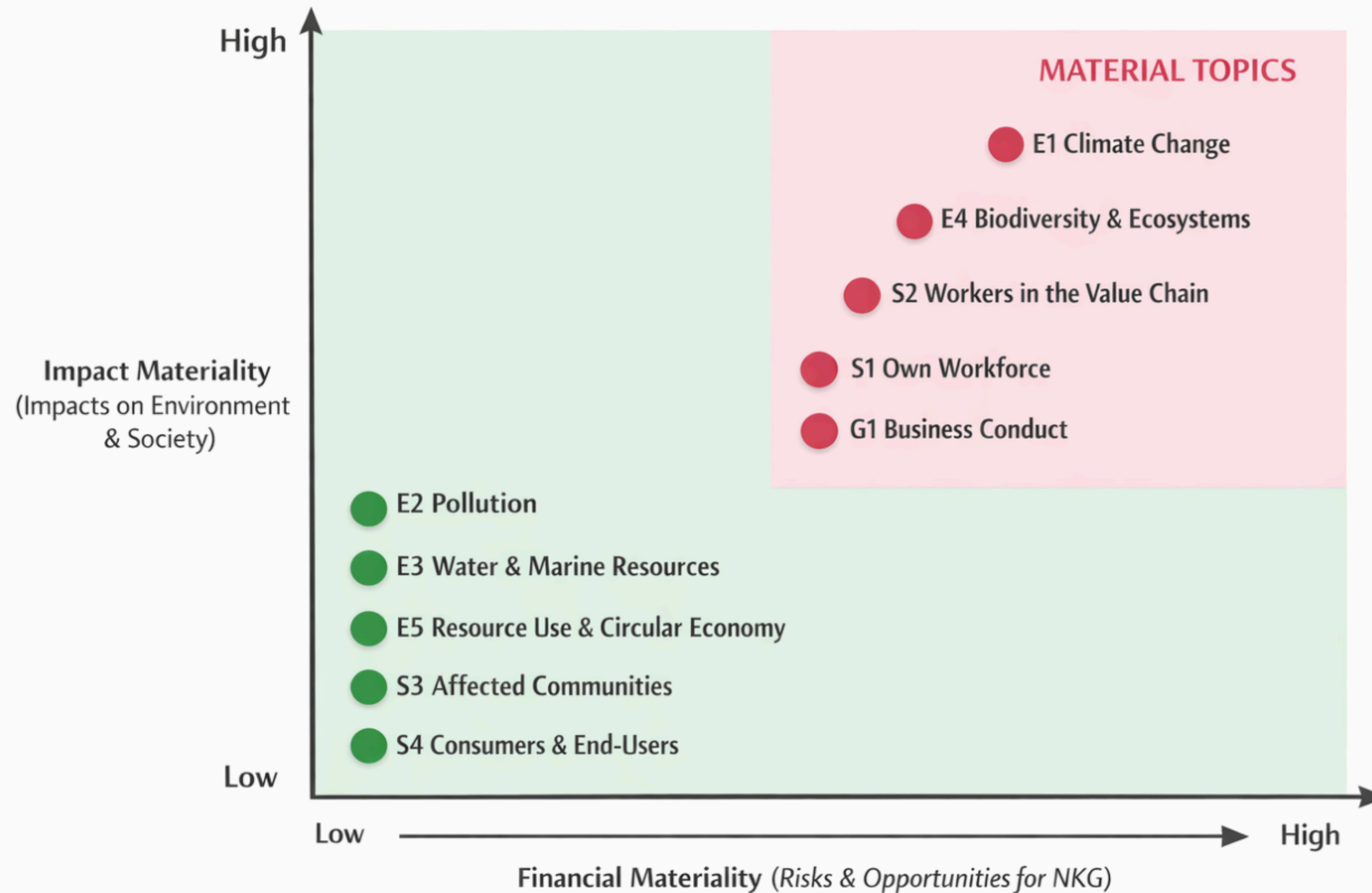
Indirectly covered by other social standards.

S4 Consumers & End-Users

Focus primarily on upstream value chain impacts.

NKG chose to focus on the most material topics to avoid diluting efforts, acknowledging touchpoints with almost all ESRS.

NKG Double Materiality Matrix



Conclusion

Strategic Focus on Sustainability

NKG's Double Materiality Assessment provides a robust framework for identifying and prioritising critical ESG issues across the coffee value chain, ensuring a strategic and impactful approach to sustainability.

